Revision Date:
05/01/2024

Background:
Federal regulation requires special treatment of the income and expenses of households (HH) with ineligible and non-HH members when determining eligibility to CalFresh benefits.

Purpose:
This section details the treatment of income and expenses of ineligible and non-HH members based on their reason for ineligibility.

Policy:
Income and expenses shall be evaluated at intake, Eligibility Status Report (SAR 7), recertification, or when a mid-period change is reported. HHs are required to report the income and expenses of ineligible HH members. There are various reasons a HH member may be ineligible to benefits, the reason for the individual's ineligibility determines the treatment of their income and expenses in the budget.

1. Treatment of the Income of Ineligible or Non-HH Members:
Refer to the table below on how to treat the gross income of ineligible and non-HH members:

Reason for Ineligibility	**Treatment of Their Income**
• Social Security Number (SSN) disqualified • Ineligible noncitizen • Failing to meet Abled Bodied Adult Without Dependents (ABAWD) work requirements	Prorate the income, count only the eligible HH member(s) portion.
• Intentional Program Violator (IPV) • Fleeing felon • Probation/parole violator • Work sanctioned	Count all the income in the budget.
• Ineligible student • Non-HH member	Income is not considered available to the CalFresh HH. **Note:** Cash payments from the student or a non-HH member to the eligible HH will be considered unearned income.

2. Proration of Income Calculation:
If the HH contains more than one individual who is an ineligible noncitizen/SSN disqualified/failing to meet ABAWD work requirements and at least one of them has income, then all of them shall be included in the proration calculation.

Prior to prorating the income, any child support the ineligible HH member pays to an individual outside the home shall be deducted.

The following are the steps to prorate income:

Step	Action
1.	Determine the ineligible individual's income as follows: Ineligible individual's gross income – ineligible individual's legally obligated child support paid = ineligible individual's income.
2.	Determine the portion of income per person as follows: Ineligible individual's income ÷ (eligible HH members + all ineligible HH members) = portion of income per person.
3.	Determine the income that should be counted in the budget as follows: Portion of income per person × (eligible HH members + all IPV/work sanctioned/probation or parole violators/fleeing felons in the HH) = income counted in the budget.

The following are examples of how to calculate the income when a HH has ineligible or non-HH members:

Example:	
Scenario	HH consists of: Mother (ineligible noncitizen) earns $2200 per month, pays $200 per month in child support to a child not in the home. Three children (all US citizens) have no income.
Outcome	Income $2200 – $200 (child support) = $2000. $2000 ÷ 4 (mother and three children) = $500. $500 × 3 (three children who are eligible HH members) = $1500. $1500 will count in the CalFresh budget.
Example:	
Scenario	HH consists of: Mother (ineligible noncitizen) earns $2500 per month. Father (ineligible noncitizen) has no income. Three children (all US citizens) have no income.
Outcome	Income $2500 ÷ 5 (mother, father, and three children) = $500. $500 × 3 (three children who are eligible HH members) = $1500. $1500 will count in the CalFresh budget. The father is included in the proration even though he has no income because the mother is also an ineligible noncitizen and she has income.
Example:	
Scenario	HH consists of: Mother (ineligible noncitizen) has no income. Three children (all US citizens) receiving CalWORKs of $1130 per month.
Outcome	$1130 will count in the CalFresh budget. The income will not be prorated because the ineligible noncitizen does not have any income of their own to contribute.
Example:	
Scenario	HH consists of: Wife (US citizen) has no income.

	Husband (US citizen and is an IPV) earns $2000 per month.
Outcome	$2000 will count in the CalFresh budget. All income of an IPV is counted in the budget and is not subject to proration.

3. Treatment of Income Shared With a Non-HH member:
When gross income of one or more CalFresh HH members is combined with the income of a non-HH member, the income of the CalFresh HH members will be determined as follows:

If the CalFresh HH member's portion…	then…
can be identified,	count their portion as income.
cannot be distinguished from the non-HH member's,	prorate the income by all those who it is shared by and count the CalFresh HH's prorated portion as income.

The following are the steps for prorating the income when the CalFresh HH member's portion cannot be distinguished from the non-HH member's:

Step	Action
1.	Determine the portion of income per person as follows: Total gross income ÷ all people who share the income = portion of income per person.
2.	Determine the income that should be counted in the budget as follows: Portion of income per person × number of eligible CalFresh HH members who share the income = income counted in the budget.

4. Treatment of Expenses When the HH Contains an Ineligible or Non-HH Member:
Refer to the table below on how to treat the expenses of HHs with an ineligible or non-HH member.

Reason for Ineligibility	Treatment of Expenses when the Ineligible or Non-HH Member…			
	Pays All of the Expense	Contributes but Amount Cannot be Differentiated	Contributes a Flat Amount	Does Not Contribute
• SSN disqualified • Ineligible noncitizen • Failing to meet ABAWD work requirements	Prorate, count only the eligible HH member(s) portion.	Prorate, count only the eligible HH member(s) portion.	Prorate, count only the eligible HH member(s) portion.	The entire expense shall be applied to the eligible HH members.
• IPV • Fleeing felon • Probation/parole violator • Work sanctioned	The entire expense shall be applied to the eligible HH members.	The entire expense shall be applied to the eligible HH members.	The entire expense shall be applied to the eligible HH members.	The entire expense shall be applied to the eligible HH members.
• Ineligible student • Non-HH member	Count $0 as the expense	Prorate, count only the eligible	Deduct the contribution from total expense, the	The entire expense shall

	for the eligible HH.	HH member(s) portion.	remainder counts for the eligible HH.	count for the eligible HH.

Note: Utility deductions are never prorated.

If the HH contains more than one individual who is an ineligible noncitizen/SSN disqualified/failing to meet ABAWD work requirements and at least one of them contributes to an expense, then all of them shall be included in the proration calculation.

The following are the steps to prorate expenses:

Step	Action
1.	Total expense ÷ (eligible HH members + all ineligible HH members) = portion of expense per person.
2.	Portion of expense per person × (eligible HH members + all IPV/work sanctioned/probation or parole violators/fleeing felons in the HH) = expense counted in the budget.

The following are examples of how to calculate expenses when a HH has ineligible or non-HH members:

Example:	
Scenario	HH consists of: Mother (ineligible noncitizen) has no income. Three children (all US citizens) receive CalWORKs. Rent is $1000 per month.
Outcome	The HH will be entitled to the entire $1000 shelter expense. Rent is not prorated because the ineligible noncitizen does not contribute.
Example:	
Scenario	HH consists of: Mother (ineligible noncitizen) has income and pays the entire rent. Father (ineligible noncitizen) has no income does not contribute to the rent. Three children (all US citizens) no income. Rent is $2000 per month.
Outcome	Rent $2000 ÷ 5 (mother, father, and three children) = $400. $400 × 3 (three children who are eligible HH members) = $1200. The HH will be entitled to a $1200 shelter expense. Dad is included in the proration because all ineligible noncitizens are included when at least one ineligible noncitizen contributes.
Example:	
Scenario	HH consists of: Mother (US citizen) with earned income. Three children (all US citizens) but one is an ineligible student who contributes $200 per month to the rent. Rent is $2000 per month.
Outcome	Rent $2000 – $200 (ineligible student's contribution) = $1800. The HH will be entitled to a $1800 shelter expense.

	When an ineligible student contributes a flat amount to an expense, the flat amount is deducted from the total expense.

5. Ineligible HH Member that has More than One Reason for Ineligibility:
If an ineligible HH member meets two or more reasons for ineligibility, the more stringent category shall be used when determining the treatment of their gross income and deductible expenses.

Reason for Ineligibility	Additional Reason for Ineligibility	Treatment of Their Income and/or Expenses
Noncitizen	Student	Prorate
SSN disqualified		
Failing to meet ABAWD work requirements		
Noncitizen	IPV	Count all
	Fleeing felon/parole violator	
	Work sanctioned	
SSN disqualified	IPV	
	Fleeing felon/parole violator	
	Work sanctioned	
Failing to meet ABAWD work requirements	IPV	
	Fleeing felon/parole violator	
	Work sanctioned	
Student	IPV	
	Fleeing felon/parole violator	
	Work sanctioned	

The following is an example of an ineligible HH member that meets two ineligibility reasons:

Example:	
Scenario	An individual is an ineligible noncitizen and a fleeing felon.
Outcome	The rules regarding the fleeing felon shall be used. Count all the of the individual's income (if applicable) in the budget. The entire expense (if applicable) shall be applied to the eligible HH members.

References:
MPP 63-502.37, 63-503.44; ACL 99-64, 18-90; CFR 273.11(c), 273.11(d)

Sunset Date:
This policy will be reviewed for continuance on or by 05/31/2027.

Approval for Release:

5-22-24

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Self-Sufficiency Services